

ICICI Bank Ltd

NSE: ICICIBANK | BSE: 532174 | Banking — Private Sector | 11 June 2026

HOLD Target Price: ₹1,199 | CMP: ₹1,280 (06-May-2026) | Downside: -6.3%

Snapshot		
Market cap	~₹9.17 lakh Cr	52-wk range: ₹1,500 / ₹1,188
FY26 PAT (standalone)	₹50,147 Cr (+6.2%)	Consolidated PAT ₹57,936 Cr
Asset quality	NNPA 0.33%, GNPA ~1.5%	NIM 4.32% (Q4 FY26)
P/B (FY26) / ROE	~2.5x / ~16%	Dividend ₹12/share FY26

Investment Summary

ICICI Bank remains the sector's execution benchmark: FY2026 standalone PAT rose 6.2% to ₹50,147 crore on NII growth of 8.5%, with the Q4 NIM actually expanding sequentially to 4.32% — a rare feat this late in a rate cycle. Advances grew 15.8%, comfortably ahead of system, while net NPAs held at just 0.33%. Consolidated PAT, including the insurance, securities and AMC subsidiaries, reached ₹57,936 crore.

The market has long paid up for this quality: at roughly 2.5x book, ICICI trades at a premium to HDFC Bank despite the latter's larger franchise, because its ~16-17% ROE is today demonstrably higher. The question for new money is whether that premium already capitalises the outperformance.

Our excess-return model (cost of equity 10.8%, terminal growth 5.5%) values the bank at ₹1,199 per share — about 6% below the market price. Superb franchise, full price. We rate the stock HOLD and would add aggressively on drawdowns toward ₹1,150, where the implied excess-return assumptions become undemanding.

FY2026 Results Review

Q4 FY26 net profit of ₹13,702 crore beat estimates, up 8.5% YoY, on NII of ₹22,979 crore (+8.4%) and a NIM of 4.32% (vs 4.30% in Q3). For the full year, standalone NII rose 8.5% to ₹88,075 crore and PAT 6.2% to ₹50,147 crore. The slower PAT growth versus advances reflects normalising credit costs from unusually benign levels and continued technology investment.

Total advances grew 15.8% YoY to ₹15.54 lakh crore with broad-based traction in business banking and retail. The board recommended a ₹12 per share dividend. Consolidated net worth ended FY26 at ₹3.60 lakh crore, with consolidated ROE of about 16%.

Key FY2026 Highlights

- Q4 PAT ₹13,702 Cr (+8.5% YoY), beating street estimates; FY26 consolidated PAT ₹57,936 Cr.
- NIM 4.32% in Q4, up sequentially — best-in-class margin defence.
- Advances +15.8% YoY; deposits ₹18.3 lakh Cr (+11.5%).
- Net NPA 0.33%; capital adequacy ~17.1%.
- Dividend ₹12/share; consolidated ROE ~16%.

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Net interest income	70,524	85,408	97,303	1,06,189	~1,18,000
Other income	65,112	76,522	1,08,255	1,16,900	~1,28,600
PAT (consolidated)	35,461	46,081	54,569	57,936	~64,700
EPS (₹)	48.7	63.0	71.7	75.7	~89
ROE	~17%	~19%	~18%	~16%	~16.5%
Net worth	2,14,498	2,56,144	3,13,906	3,60,378	~4,14,700

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

We apply a five-year excess-return model to consolidated book value: 11-12% asset growth, NII at 3.82% of average assets, 10% other-income growth (the listed insurance/AMC/securities subsidiaries are growth engines in their own right), a 65% combined cost-plus-provisions ratio, 25% tax and a 16% payout, which compounds book value at roughly 14% annually.

Discounting at a 10.8% cost of equity (Rf 6.7%, beta 0.75, ERP 5.5%) with terminal growth of 5.5% yields equity value of ₹8.58 lakh crore — ₹1,199 per share, about 2.4x FY26 book. The market price of ₹1,280 embeds either a sub-10.5% cost of equity or ~6% terminal growth; achievable, but with little margin of safety. The full Ke/growth sensitivity grid is in the accompanying workbook.

Valuation Bridge	Value
Current net worth (FY2026)	₹3.60 lakh Cr
PV of 5-yr excess returns	₹1.09 lakh Cr
PV of terminal value	₹3.89 lakh Cr
Equity value	₹8.58 lakh Cr
Per share (716 Cr shares)	₹1,199

Key Risks

- Valuation risk: at ~2.5x book, any ROE slippage toward 14% would compress the multiple sharply.
- NIM normalisation as deposit repricing lags policy rate cuts fades.
- Credit-cost normalisation from cyclically low levels, especially unsecured retail.
- Subsidiary valuations (insurance, AMC, securities) are market-linked and add earnings volatility.
- Regulatory: May 2026 SEBI administrative warning on depository-participant compliance — minor, but governance bears watching.

Company Overview

ICICI Bank is India's second-largest private-sector bank, with a diversified retail, SME and corporate franchise and a 'One Bank, One ROE' operating philosophy credited with its post-2018 transformation. The group holds leading positions in life insurance (ICICI Prudential), general insurance (ICICI Lombard), asset management and broking (ICICI Securities), giving shareholders a compounding financial conglomerate beneath a single listing.

Disclaimer

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